SECURITIES AND FUTURES COMMISSION 證券及期貨事務監察委員會
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Securities and Futures Commission
Investment Products Department

General Circular to SFC-approved Fund Management Companies
(GC02/02-225/IP/6104)

Subject: Disclosure Requirements of Guaranteed Funds – Amendment to the Code on Unit Trusts and Mutual Funds

Background

1. The disclosure requirements for the offering document and advertisements of a guaranteed fund are currently set out in Chapters 8.5 (c) and 8.5 (d) of the Code on Unit Trusts and Mutual Funds (the "Code"). The existing requirements generally serve the purpose of highlighting the salient features of a guaranteed fund in a simple form.

2. In view of the increasing number of guaranteed funds and their increasingly complex nature, the Commission has concluded that it is necessary to strengthen the disclosure requirements to enable potential investors to better understand the nature and risks of guaranteed funds.

3. Over the years, certain disclosure practices have evolved as a result of exchanges with sponsors in the process of vetting applications and knowledge gained on guaranteed funds. The revised provisions essentially codify such disclosure practices which represent consensus with fund sponsors in the enhancement of existing code requirements for better investor protection.

Revised Disclosure Requirements

4. The revisions mainly fine-tune or enhance the existing code requirements, with only one addition on reporting requirement to complement the recent implementation of a revised set of qualification requirement for guarantors of guaranteed funds.

Information about the guarantor

5. The guarantors of guaranteed funds possess strong financial standing and are prominent financial institutions in their own domestic markets, but some of them may only have limited presence in the retail financial market in Hong Kong and are therefore unfamiliar to the retail investors here. Given the vital role played by the guarantors, it is considered that more detailed information about the guarantors should be disclosed in the offering document.

Information about the guarantee

6. As the primary purpose of investing in a guaranteed fund is to participate in the guarantee, it is important that the terms of the guarantee, the requisite conditions for eligibility, as well as the circumstances for variation or termination of the guarantee are clearly stated in the offering document.

7. There should also be an illustration to demonstrate the mechanism of the guarantee and the manner in which potential returns in excess of the guaranteed amount are calculated upon the maturity of the fund.

Information about the underlying investments

8. Given the increasingly complex investment strategies now adopted by guaranteed funds, a more detailed description on the underlying investments should be made. Where for practical reasons, certain investment details may not be determined until after completion of the offer period of the fund, which is subsequent to the issuance of the offering document, sufficient relevant information should still be disclosed on a best effort basis.

Risk warning statements

9. Aside from the on-going requirement to highlight the guarantee structure, statements on investment risks and counterparty risks should be made in the offering documents. Special features with respect to fees charging should also be brought to the attention of the potential investors.

Reporting requirement

10. The existence of adequate on-going supervision by a prudential regulatory authority is crucial to the maintenance of the status as a guarantor. However, under exceptional circumstances where a guarantor is neither a licensed banking institution nor an authorized insurer in Hong Kong, such information may not be readily available to the Commission. In such instance, the scheme should provide for an annual reporting to the Commission on the regulatory status of its guarantor.

Advertisements

11. Given the nature of advertisements, it is impractical to impose all of the foregoing disclosure requirements on them. However, to ensure that their audience obtain sufficient information on the guaranteed funds prior to making their investment decisions, advertisements should direct readers to the offering documents for details.

Effective Date

12. The revised provisions have been incorporated into Chapter 8.5 of the Code and will come into effect immediately. A copy of the Code is available on the SFC website (http://www.hksfc.org.hk).

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21 March 2002